

LEC8 - Fundamentals of Investing and Investing in Stocks

Chapter 10 - Fundamentals of Investing

Learning Objectives

1. Explain why you should establish an investment program
 2. Describe how safety, risk, income, growth, and liquidity affect your investment decisions
 3. Identify and explain how investment alternatives affect your investment plan
 4. Recognize the role of the professional financial planner and your role in a personal investment program
 5. Use various sources of financial information that can reduce risks and increase investment returns
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Performing a Financial Checkup

1. Live within your means
 2. Obtain adequate insurance protection
 3. Start an emergency fund you can access quickly
 - 3-9 months living expenses
 4. Have access to other sources of cash for emergencies
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Example

Harsh and Leya Saini have total take-home pay of \$6,200 a month. Their monthly expenses total \$4,800. Calculate the minimum amount the couple needs to establish an emergency fund?

$$4800 \cdot 3 = \$14,400$$

Investment Income

Investments with a predictable source of income include

- GIS's
- Savings bonds
- Treasury bills

Other sources of investment income are not as predictable

- Mutual funds
- ETFs
- Real estate rental property
- Speculative investments such as precious metals, gems, and collectibles offer little potential for regular income

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Investment Growth

- Growth means that investments will increase in value (appreciation)
 - Common stock
 - Growth stocks reinvest retained earnings
 - Bonds, mutual funds, and real estate
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Investment Liquidity

- Ability to buy or sell an investment quickly without substantially affecting the investments value
 - Ease of converting investment to cash
 - Real estate is not liquid
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Example

1. List three personal factors that might lead some investors to emphasize income over growth rate
 - Certainty and stability
 - Risk appetite
 - i. How much risk you are willing to take
 - Life circumstances
 2. List three personal factors that might lead some investors to emphasize growth rate over income
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Corporate and Government Bonds

- A bond is a loan to a corporation, the federal government, or a municipality
 - Bondholders receive periodic interest payments, and the principle they lent is repaid at maturity (1-30 years)
 - Bondholders can keep the bond until maturity or sell it to another investor
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Example

What is the main advantage of receiving dividend income vs interest income

- Dividends have a potential to go up (but also down)
- Interest income earned is taxed at marginal rate, while dividend income a tax credit, so you pay 15% taxes, which is typically less than interest income

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Example

Assume that 3 years ago, you purchased a 10 year bond that pays 9.5% interest. The purchase price is \$1,000. Also, assume that today comparable bonds are paying 8%.

1. What is the annual dollar amount of interest that you will receive from your bond investment?
 - $= 1000 \cdot 9.5\% = \$95 \text{ per year}$
 2. Assuming that comparable bonds are paying 8%, what is the approximate dollar value that you could sell your bond for?
 - $= 95 \div 8\% = \$1,187.50$
 3. In your own words, explain why your bond increased or decreased in value
 - The bond increased in value because the comparable interest rate decreased, leading to lesser comparable returns
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Example

At the beginning of the year, your client has the following investment choices. Ignoring tax, determine the return for each investment and advise your client of the benefit and risk of each option assuming they are risk averse

- a) 100 shares in a publicly traded company that costs a total of \$2,600 and pays an annual dividend of \$0.50 per share. The investment value is not anticipated to change during the year
 - $= \frac{0.50 \cdot 100}{2600} = 1.92\%$
 - b) Bonds of a publicly traded company that cost a total of \$2,600 and pays annual interest of 1.6%. The investment value is not anticipated to change during the year
 - 1.6%
 - c) A one year GIC at a chartered bank that cost \$2,600 and pays annual interest of 1.5%
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Sources of Investment Information

- The internet and online services
 - Canoe Money, The Balance, Globe Investor, Investopedia
- Online newspapers and news programs
- Business periodicals and government publications
- Corporate reports

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- Statistical averages
 - Investor services and newsletters
 - Investor services and newsletters
 - Desktop and mobile information services
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Chapter 11 - Investing in Stocks

Learning Objectives

1. Identify the most important features of common stocks
 2. Discuss the most important features of preferred stocks
 3. Explain how to evaluate stock investments
 4. Describe how stocks are bought and sold
 5. Explain the trading techniques used by long-term investors and short-term speculators
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Corporations and Common Stock

Public Corporations: Stocked trades openly in stock markets and may be purchased by individuals

Private Corporations: Stocks are owned by relatively few people and are not traded openly in stock markets

Why do corporations trade stocks?

- To finance business start up costs and help pay for ongoing business activities
 - Form of equity
 - They don't have to repay the money raised
 - Price is determined by how much a buyer is willing to pay
 - Dividends are not mandatory
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Example

Jena owns 220 shares of Suncor common stocks. Assuming that Suncor's quarterly dividends is \$0.50 per share, what is the amount of the dividend that Jena will receive for this quarter?

- $= 220 \cdot 0.50 = \$110$

Why Investors Purchase Common Stocks

- Income from dividends
 - Cash, additional stocks, or company products
 - Changes in stock value
 - Appreciation over time
 - Possible increased value from stock splits
 - A procedure in which the shares of common stocks owned by existing shareholders are divided into a larger number of shares
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Factors That Influence the Price of a Stock

Bull Market

- Investors are optimistic about nation's economy
- More investors are buying stock and the stock market increases

Bear Market

- Investors are pessimistic about economy
 - More investors are selling stock and the stock market declines
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Measures of Corporate Risk, Performance, and Shareholder's Return

Annual Shareholders Return

- A stocks annual dividend and increase in value divided by its beginning-of-year stock price
- $Annual\ Shareholder\ Return = \frac{Annual\ Dividend + Appreciation\ in\ Value}{Initial\ Stock\ Investment}$

Dividend Yield

- A stocks annual dividend divided by its beginning-of-year stock price
- If the dividends is divided by the end-of-the-year stock price, it is referred to as the trailing dividend yield
- $Annual\ Dividend\ Yield = \frac{Annual\ Dividend}{Initial\ Stock\ Investment}$

Capital Gains Yield

- A stocks increase in value divided by its beginning-of-year stock price
- $Capital\ Gains\ Yield = \frac{Appreciation\ in\ Value}{Initial\ Stock\ Investment}$

Earnings Per Share

- The corporations after tax earnings divided by the number of outstanding shares of common stock

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- $$\text{Earnings Per Share} = \frac{\text{After Tax Earnings}}{\text{Number of Outstanding Shares of Common Stock}}$$

Price-Earnings (PE) Ratio

- Price of one share of stock divided by the earnings per share of stock over the past 12 months
 - A low price-earnings ratio means a stock could be a good investment
 - *PE Ratio*
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Example

Tamara purchased 100 shares of All-Canadian manufacturing Company stock at \$29.50 a share. One year later, she sold the stocks for \$38 a share. She paid her broker a \$35 commission when she purchased the stocks and a \$42 commission when she sold them. During the 12 months that she owned the stocks, she received \$184 in dividends.

1. Calculate Tamara's annual shareholder return
 - $\text{Investment Cost} = 29.50 \cdot 100 + 29.50 = \$2,984$
 - $\text{Investment at Sale} = 38 \cdot 100 - 42 + 184 = \$3,758$
 - $\text{Capital Gain} = 3758 - 2984 = \774
 - $\text{Capital Gain Yield} = \frac{2984}{3758} = 25.9\%$
 2. Break this total into its components: Dividend yield and capital gains yield
 - $\text{Dividend Yield} = 6.2\%$
 - $\text{Total Return} = 958 = 32.1\%$
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Example

As a shareholder of an oil company, you receive its annual report. In the financial statements, the firm reported assets of \$9,000,000, liabilities of \$5,000,000, after tax earnings of \$2,000,000, and 750,000 outstanding shares of common stock

1. Calculate the earnings per share of this oil company's common stock
 - $\text{EPS} = \frac{2000000}{750000} = \2.67
2. Assuming that a share of this oil company's common stock has a market value of \$40, what is the firm's price-earnings ratio?
 - $\text{PE Ratio} = \frac{40}{2.67} = 15 \text{ times}$

Example

For four years, Mika invested \$3,000 each year in a bank's stocks. The stock sold for \$34 in 20X1, \$48 in 20x2, \$37 in 20x3, and \$52 in 20x4

1. What is Mika's total investment in this bank?
 - $= 3000 \cdot 4 = \$12,000$
2. After four years, how many shares does Mika own?
 - $= (3000 \div 34) + (3000 \div 48) + (3000 \div 37) + (3000 \div 52) = 289.51$
3. What is the average cost per share of Mika's investment?
 - $12000 \div 289.51 = \$41.45$